

US equity outlook: Resilience to keep bull market intact

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/clearbridge-investments/us-equity-outlook-resilience-to-keep-bull-market-intact>

Extraction method: selenium

US equity outlook: Resilience to keep bull market intact

Key takeaways

Capital spending, bolstered by front-loaded fiscal stimulus, as well as continued consumption by a resilient US consumer, is expected to sustain corporate profit growth at double-digit rates in 2026, leading to positive yet more modest equity returns.

While AI's disproportionate role in driving market returns and index concentration shares unhealthy parallels with prior periods of speculation, leading companies today appear much more fundamentally sound. We believe a recent pause in investor enthusiasm for the AI trade is also healthy for markets.

With capitalization-weighted versus equal-weighted S&P 500 Index returns at an extreme and an expected rebound in relative earnings growth for the average stock, we expect a broadening of market participation that should benefit more diversified portfolios in 2026.

Entering 2026 with high valuations, elevated volatility risk

As we look forward to 2026 it is impossible not to look backward at the last three years of extraordinary returns in US equity markets. The US stock market, as defined by the S&P 500 Index, has risen 78% cumulatively on a three-year basis. While this large advance alone does not inform our view on potential 2026 market returns, both elevated expectations and high valuations make forecasting outcomes particularly challenging next year. On one hand, the antecedent conditions make the market vulnerable to shocks and surprises. Conversely, the current economic momentum bolstered by multiple catalysts could drive an earnings acceleration and broader industry participation in 2026 (Exhibit 1). In our opinion, the most likely outcome is another year of positive, but more modest, stock returns with an elevated risk of market volatility (Exhibit 1).

The most remarkable factor driving markets over the last several years has been the resiliency of economic growth. AI investment, which today is responsible for approximately one-third of all capital investment, as well as continued spending by the US consumer, have sustained S&P 500 profits, which will likely grow again at double-digit rates in 2026.¹ Based on various analysts' analysis of Congressional Budget Office scoring, front-loaded fiscal stimulus from the One Big Beautiful Bill could add 50-100 basis points to GDP next year² and, while there is stimulus for both consumers and corporates from the bill, businesses will be able to immediately deduct capital expenses such as investments in equipment and research and development. This is expected to bolster overall capital spending, which should broaden and remain strong even if AI capital expenditure (capex) spending moderates in 2027 and beyond.

Exhibit 1: Closing the Gap

Sources: FactSet, S&P. Data as of November 30, 2025. The term "consensus" within the capital markets industry refers to the average of earnings estimates made by professionals. Magnificent 7 data refers to the following set of stocks: Microsoft (MSFT), Amazon (AMZN), Meta (META), Apple (AAPL), Google parent Alphabet (GOOGL), Nvidia (NVDA), and Tesla (TSLA). There is no assurance that any estimate, forecast or projection will be realized.

The consumer calculus is a bit more mixed, but here again resiliency is our expectation. Confidence and spending data show a clear divergence between the low- and high-end consumer. Employment is the key ingredient for consumer health, but the current weakness in labor demand is also partly a reflection of shifts from immigration, as well as a lower need for labor hoarding, which originated during the COVID-19 years and kept unemployment levels at unusually tight and perhaps unsustainable levels. We believe that labor pressures from AI, as well as benefits from AI productivity, while very real in specific circumstances, are likely overstated in terms of their current impact on the broader economy.

Monetary policy should also provide a tailwind to the economy; however, in our view, this factor might be to a lesser degree than the market believes, as long-dated yields could remain high with some risk to the upside. Fortunately, the impact of tariffs, both on supply chains and inflation, has been less inflationary than feared as distributors and

manufacturers have been willing to absorb some of the impact. Overall, the effective tariff rate seems likely to settle in the 6%-8% range, less than half the assumed rate six months ago, due to a bevy of carve-outs and exemptions that have mitigated the impact.

That said, some consumer-facing segments of the economy are clearly experiencing pricing pressure. Fortunately, continued disinflationary trends in housing and energy are likely to provide at least a partial offset. Our view is that with Wall Street's consensus forecast for inflation to remain notably above the Fed's 2% target in 2026 and a higher than commonly understood neutral rate, federal-funds rates will be cut by less than consensus expects in 2026. Furthermore, a potential re-acceleration in economic growth, real worries about the politicalization of the Fed, and an increase in fixed income supply from both growing deficits and AI financing requirements all have the potential to drive yields higher.

Exhibit 2: AI Enthusiasm Has Amplified Market Concentration

Sources: S&P, FactSet, and Bloomberg. Data as of November 30, 2025. Past performance is not necessarily indicative nor a guarantee of future performance.

Finally, we have some concerns over the disproportionate role AI is playing in driving overall market returns and its resulting effect on market index concentration (Exhibit 2). From both our studies of historical market bubbles, as well as from our own experience as investors over the last 30 plus years, we see some unhealthy parallels with prior periods. These include extreme valuations, circular financing arrangements, a surge in retail participation and increased speculation, particularly through leveraged exchange-traded funds and single-day options.

Exhibit 3: AI Enthusiasm Has Amplified Market Concentration

Sources: Source: Strategas, Bloomberg. As of October 31, 2025. Past performance is not necessarily indicative nor a guarantee of future performance.

That said, there are several distinct differences from the tech bubble of the late 1990s and early 2000s, with today's leading companies funding much of their investment into new technology from free cash flow. When external capital does need to be raised, it is largely being done from sticky sources such as debt or private markets. This stands in contrast to the tech bubble when leading companies did not generate profits or free cash flow and relied on equity financing (initial public offerings and secondaries). While pockets of speculation are apparent today, in our view, they bear little resemblance to the breadth of speculation seen 25 years ago, suggesting more limited contagion risk.

The AI narrative is changing, with the winners and losers at this stage harder to identify and needing a seemingly endless supply of cash. Importantly, investors are starting to question the financial returns that this investment will ultimately produce, which has led to market volatility such as what occurred following the release of DeepSeek's lower-cost high-performance R1 model in January 2025. AI will no doubt change the world and have profound effects on business efficiency and consumers' lives; however, the path for new technologies is rarely without twists and turns and often takes longer than anticipated. We believe the recent pause in enthusiasm is healthy for the overall market as it tempers the risky 'bubble' parallels highlighted earlier and increases the odds for more balanced equity returns next year.

With capitalization-weighted versus equal-weighted S&P 500 Index returns at an extreme and an expected rebound in relative earnings growth for the average stock, we expect a broadening of market participation that should benefit more diversified portfolios in 2026.

View more about ClearBridge Investments and the strategies they manage.

Endnotes

Source: Morningstar, 'There's no turning back on AI now, this firm says as it boosts S&P 500 forecast.' November 20, 2025..

Source: US House Ways and Means Committee, 'President Trump's One, Big, Beautiful Bill Will Fuel Economic Boom,' May 20, 2025.

DEFINITIONS

The S&P 500 Index is an unmanaged index of 500 stocks that is generally representative of the performance of larger companies in the US.

The One Big Beautiful Bill Act, or the Big Beautiful Bill, is a US federal statute passed by the 119th United States

Congress containing tax and spending policies that form the core of President Donald Trump's second-term agenda. The bill was signed into law by President Trump on July 4, 2025.

Capital expenditure (capex) and refers to investment spending in long-term assets (fixed assets). These expenditures include new buildings, machinery, and other equipment needed for an organization's day-to-day operations. Most companies use capex financing to fund their long-term investments.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Past performance is no guarantee of future results. Please note that an investor cannot invest directly in an index. Unmanaged index returns do not reflect any fees, expenses or sales charges.

Equity securities are subject to price fluctuation and possible loss of principal. Large-capitalization companies may fall out of favor with investors based on market and economic conditions. Small- and mid-cap stocks involve greater risks and volatility than large-cap stocks.

Commodities and currencies contain heightened risk that include market, political, regulatory, and natural conditions and may not be suitable for all investors.

US Treasuries are direct debt obligations issued and backed by the "full faith and credit" of the US government. The US government guarantees the principal and interest payments on US Treasuries when the securities are held to maturity. Unlike US Treasuries, debt securities issued by the federal agencies and instrumentalities and related investments may or may not be backed by the full faith and credit of the US government. Even when the US government guarantees principal and interest payments on securities, this guarantee does not apply to losses resulting from declines in the market value of these securities.

WF: 7823759

View more about ClearBridge Investments and the strategies they manage.

CONTRIBUTORS

Scott Glasser

Chief Investment Officer

Related Content

US economic outlook: Consumer still standing, corporations healthy

Explore ClearBridge Investments Insights

Explore other 2026 investment outlooks

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and

may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.